**25900307** **A**

**Reg.No : .....**

**Name : .....**

# MAHATMA GANDHI UNIVERSITY, KOTTAYAM

## MGU-UGP (HONOURS) Regular EXAMINATION October 2025

## Third SEMESTER

## Discipline Specific Elective (DSE) - MG3DSECOM204 - PUBLIC FINANCE

(2024 ADMISSION ONWARDS)

**Duration: 1 Hour 15 Minutes** **Maximum Marks: 70**

***Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)***

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

### Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. What does IGST stand for? [U] / [CO1, CO2]

   a). Indian Goods and Services Tax
   b). Inter-state Goods and Services Tax
   c). Integrated Goods and Services Tax
   d). Internal Goods and Services Tax

2. Why is it incorrect to classify repair costs of machinery as capital expenditure? [U] / [CO3]

   a). Because they are not part of regular operations
   b). Because they are not related to asset improvement
   c). Because they do not increase the asset's life or value significantly
   d). Because they are for acquiring a new asset

3. What percentage of the net proceeds of union taxes devolved to the states? [U] / [CO4]

   a). 51%
   b). 31%
   c). 41%
   d). 61%

4. When the government spends more than it collects in revenue, it is following: [An] / [CO5]

   a). Surplus budget
   b). Deficit budget
   c). Neutral fiscal policy
   d). Zero-based budget

5. Which of the following illustrates the role of private finance? [U] / [CO1]

   a). Government spending on healthcare infrastructure
   b). Household savings and investment for personal goals
   c). Implementation of national welfare schemes
   d). Public debt management by the central government

6. The government allocates resources to new digital infrastructure, but within a few years, priorities shift to environmental protection. Which limitation of MSA does this highlight? [U] / [CO1]

   a). Difficulties in measuring MSB and MSS
   b). Problem of aggregation
   c). Dynamic and changing social needs
   d). Administrative and implementation challenges

7. The government manages its borrowing program carefully, spreading it across internal and external sources, so that liquidity in the domestic money market remains stable and private investment is unaffected. Which potential problem of debt has been avoided? [U] / [CO3]

   a). Inflationary pressures
   b). Liquidity shortage and crowding-out of private borrowing
   c). Increase in tax burden
   d). Fiscal deficit growth

8. State governments earn non-tax revenue from which of the following? [U] / [CO1, CO2]

   a). Interest on loans given to Union Territories
   b). Revenue from sale of state-run lottery tickets
   c). Revenue from foreign governments
   d). Miscellaneous receipts such as penalties

9. Which of the following is not an example of a public good? [U] / [CO1]

   a). National defence
   b). Public street lighting
   c). Early warning systems for disasters
   d). A personal mobile phone connection

10. Primary deficit = Fiscal deficit – _____ [U] / [CO3]

a). Revenue deficit
b). Borrowings
c). Interest payments
d). Current account

11. Which type of tax is generally progressive, with a higher income leading to a higher tax rate? [U] / [CO1, CO2]

a). Indirect tax
b). Direct tax
c). VAT
d). GST

12. Which is NOT an Adam Smith canon? [U] / [CO1, CO2]

a). Productivity
b). Equality
c). Certainty
d). Convenience

13. Which of the following financial institutions in mentioned as a source for large municipalities to borrow from? [U] / [CO4]

a). SEBI
b). NABARD
c). World Bank
d). RBI

14. If a shopkeeper includes the GST in the selling price and the customer pays more, where does the incidence of the tax fall? [U] / [CO1, CO2]

a). On the shopkeeper
b). On the government
c). On the customer
d). On the supplier

15. Federal Finance includes: [U] / [CO4]

a). Division of Responsibility
b). Financial relation between the Centre and States
c). Borrowing Powers
d). All of the other options

16. Customs duty collected on imported goods is an example of: [U] / [CO1]

a). Non-tax revenue
b). Budget expenditure
c). Fiscal deficit
d). Tax revenue

17. Revenue deficit arises when: [U] / [CO3]

a). Revenue expenditure < Revenue receipts
b). Revenue expenditure > Revenue receipts

c). Capital expenditure > Capital receipts

d). Total expenditure > Total receipts

18. According to Wagner's Law, as economies expand, government spending: [U] / [CO1]

a). Decreases both absolutely and relatively

b). Remains constant as a share of national income

c). Increases in absolute terms but not as a proportion of national income

d). Increases both in absolute terms and as a proportion of national income

19. In which situation might a government deliberately avoid a balanced budget? [E] / [CO3]

a). To reduce inflation

b). To stimulate economic growth during a recession

c). To maintain political stability

d). To balance imports and exports

20. Suggesting ways to improve Centre-State relations by; [U] / [CO4]

a). Prime Minister

b). Chief Minister

c). Finance Commission

d). Judicial Commission

21. If the government spends on roads, dams, and electricity projects, such expenditure is classified as: [U] / [CO1]

a). Non-developmental expenditure

b). Developmental expenditure

c). Social welfare expenditure

d). Private expenditure

22. Which of the following best describes a "Balanced Budget"? [U] / [CO3]

a). Government expenditure is more than its income

b). Government income is more than its expenditure

c). Government income equals its expenditure

d). Government borrows from international banks

**[1x20 = 20]**

## Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Consider the following statements and state which of the statements are true. (1) Both funding and sinking fund methods provide systematic ways of dealing with public debt. (2) Funding is based on conversion of short-term debt, while sinking fund is based on savings accumulation. (3) Capital levy relies on recurring [U] / [CO3]

taxation for debt repayment. (4) A sinking fund requires no actual monetary contributions, only accounting adjustments.

a). (1), (2) and (4) only
b). (1) and (2) only
c). (2), (3) and (4) only
d). (1), (2), (3) and (4)

24. Consider the following statements: Assertion(A) and Reasoning (R). Choose the correct alternative. [An] / [CO5]
Assertion (A): Monetary policy in India is framed by the Reserve Bank of India (RBI).
Reasoning (R): Fiscal policy in India is prepared and implemented by the Parliament and the Ministry of Finance.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). Both A and R are false.

25. Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. [U] / [CO1, CO2]
Assertion (A): Tax revenue is compulsory.
Reasoning (R): It ensures a direct service to each payer.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

26. Which is NOT public revenue? [U] / [CO1, CO2]

a). Private income
b). GST
c). Excise
d). Fee

27. Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. [E] / [CO3]
Assertion (A): The Finance Ministry is solely responsible for preparing and presenting the Union Budget.
Reason (R): The Finance Ministry has direct control over all financial and economic matters of the country.

a). Both A and R are true, and R is the correct explanation of A
b). Both A and R are true, but R is not the correct explanation of A
c). A is true, but R is false
d). A is false, but R is true

28. Consider the following statements and state which of the statements are true : [U] / [CO4]
Statement I: Challenges to Fiscal Consolidation are Slow economic recovery and

growth uncertainty
Statement II: Challenges to Fiscal Consolidation are Raising welfare expenditure post-pandemic and States dependence on Central transfers

a). Statement I is true, and Statement II is false
b). Statement I is false, and Statement II is true
c). Both statements are false
d). Both statements are true

29. The Fiscal Responsibility and Budget Management (FRBM) Act, 2003 aimed to: [An] / [CO5]

a). Reduce fiscal deficit and ensure fiscal discipline.
b). Increase subsidies to farmers.
c). Expand social sector spending.
d). Privatise public sector units.

30. The principle of "Universality" in government budgeting implies: [U] / [CO3]

a). A budget must be prepared in all languages.
b). All income and expenditure must be shown without netting off.
c). Every citizen must participate in budget preparation.
d). The Budget should apply universally to all departments equally.

31. A surcharge on income tax is a: [U] / [CO1, CO2]

a). Fee
b). Indirect tax
c). Direct tax add-on
d). Fine

32. The Government use deficit financing to : [U] / [CO3]

a). Fund development projects
b). Stimulate the economy during recessions or slowdowns
c). Provide social welfare schemes
d). All of the options given

33. Which amendment granted constitutional status to municipalities? [U] / [CO4]

a). 74th Amendment
b). 75th Amendment
c). 72nd Amendment
d). 73rd Amendment

34. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [E] / [CO5]
Assertion (A): The Government use fiscal instruments to allocate resources to priority sectors such as health, education, defence and green energy.
Reasoning (R): The Government ensures efficient and optimal use of national wealth.

a). A is true, but R is false.
b). A is false, but R is true.
c). Both A and R are true, and R is the correct explanation of A.
d). Both A and R are true, but R is not the correct explanation of A.

35. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I: Public debt is raised only when there is a fiscal surplus.
Statement II: A government may borrow to build infrastructure and enhance long-term economic growth.

a). Both statements are true
b). Statement I is true, and Statement II is false
c). Statement I is false, and Statement II is true
d). Both statements are false

36. Consider the following statements and choose the most appropriate alternative. [U] / [CO1, CO2]
Statement I: A low tax buoyancy indicates that tax revenues are keeping pace with economic growth.
Statement II: A buoyant tax system is reflected by a tax buoyancy greater than 1.

a). Both statements are true.
b). Statement I is true, and Statement II is false
c). Statement I is false, and Statement II is true.
d). Both statements are false.

37. Consider the following statements and state which of the statements are true. [U] / [CO3]
Statement (1): Public debt can stabilise the economy during crises like recessions or wars by financing emergency spending.
Statement (2): A sustained high level of debt may create fiscal deficit pressures.
Statement (3): Persistent high debt can reduce investor confidence and threaten long-term economic stability.
Statement (4): High public debt always strengthens economic stability, regardless of the situation.

a). (1) and (2) only
b). (2) and (3) only
c). (1), (2), and (4) only
d). (1), (2), and (3) only

38. Consider the following statements and state which of the statements are true : [U] / [CO4]
**Statement I:** One of the key functions of the Finance Commission is **Vertical Devolution**
**Statement II:** Another important function of the Finance Commission is **Horizontal Devolution**

a). Both statements are true
b). Both statements are false

c). Statement I is true , and Statement II is false

d). Statement I is false, and Statement II is true

39. Consider the following statements and choose the most appropriate alternative. [An] / [CO5]
Statement I: The goal of creating a tax system under the tax reforms of 1991 was to establish a fair and simple Tax system.
Statement II: The goal of creating a tax system under the tax reforms of 1991 was to create a growth-oriented tax system.

a). Statement I is true, and Statement II is false.

b). Statement I is false, and Statement II is true

c). Both Statements are true.

d). Both Statements are false.

40. Consider the following statements and choose the most appropriate alternative. [U] / [CO4]
Statement I: Property tax is the primary source of tax revenue for urban local bodies.
Statement II: User charges collected for water supply and sanitation are classified as tax revenue

a). Both Statements are true

b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true

d). Both statements are false

41. Consider the following statements Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): Ability-to-pay principle supports progressivity. Reasoning (R): Marginal utility of income declines with income. [U] / [CO1, CO2]

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

42. Consider the following statements and state which of the statements are true. (1) Short-term debt is repayable within one year. (2) Bonds maturing in 3 or 5 years are classified as medium-term debt. (3) Long-term debt is repayable within 1–5 years. (4) Treasury Bills are examples of long-term borrowings. [U] / [CO3]

a). (1) and (2) only

b). (2) and (3) only

c). (1), (2), and (4) only

d). (1), (3), and (4) only

43. Consider the following statements and state which of the statements are true : [U] / [CO4]
Statement I: Federal Finance enables all levels of Government (Union Govt., State Govt. and Local bodies) to mobilise resources efficiently.
Statement II: To meet developmental and welfare goals.

a). Both statements are true
b). Statement I is true, and Statement II is false
c). Statement I is false, and Statement II is true
d). Both statements are false

44. Which income tool reduces income inequality? [E] / [CO5]

a). Progressive taxation
b). Indirect taxation
c). Reduction in subsidies
d). Deficit financing

45. Consider the following statements: Assertion(A) and Reasoning (R). Choose the correct alternative. [An] / [CO5]
Assertion (A): Fiscal policy mainly deals with government spending and taxation.
Reasoning (R): Monetary policy mainly deals with money supply and interest rates.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). Both A and R are false.

46. Tax evasion tends to be relatively harder for: [U] / [CO1, CO2]

a). Indirect taxes at point of sale
b). All direct taxes
c). All taxes equally
d). Wealth tax only

47. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I – The long-term impact of public debt depends more on how the funds are utilised than on how much is borrowed. Statement II – Borrowing for routine expenses like salaries and pensions is also productive, as it ensures immediate revenue generation.

a). Both statements are true
b). Statement I is true, and Statement II is false
c). Statement I is false, and Statement II is true
d). Both statements are false

48. Consider the following statements and state which of the statements are true: [U] / [CO4]
Statement I: Strong Institutional mechanisms must be in place to manage Federal Finance.
Statement II: Strong Institutional mechanisms must be in place to manage the Finance Commission

a). Both statements are true
b). Statement I is true, and Statement II is false

c). Both statements are false

d). Statement I is false, and Statement II is true

49. Differentiate a Fiscal Policy and a Monetary Policy. [An] / [CO5]

a). Fiscal Policy refers to use of public expenditure and taxation to influence macroeconomic variables. Whereas Monetary Policy refers to use of interest rates to influence macroeconomic variables.

b). Fiscal Policy is executed by Government but Monetary policy is executed by the central bank of a country.

c). Monetary policy can act as a brake on inflation Whereas Fiscal Policy fiscal policy aims to target the total level of spending.

d). All of the other options.

**[2x25 = 50]**

**25900307** **B**

**Reg.No : .....**

**Name : .....**

# MAHATMA GANDHI UNIVERSITY, KOTTAYAM

## MGU-UGP (HONOURS) Regular EXAMINATION October 2025

## Third SEMESTER

## Discipline Specific Elective (DSE) - MG3DSECOM204 - PUBLIC FINANCE

(2024 ADMISSION ONWARDS)

**Duration: 1 Hour 15 Minutes** **Maximum Marks: 70**

***Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)***

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

### Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. The government manages its borrowing program carefully, spreading it across internal and external sources, so that liquidity in the domestic money market remains stable and private investment is unaffected. Which potential problem of debt has been avoided? [U] / [CO3]

   a). Inflationary pressures

   b). Liquidity shortage and crowding-out of private borrowing

   c). Increase in tax burden

   d). Fiscal deficit growth

2. If a shopkeeper includes the GST in the selling price and the customer pays more, where does the incidence of the tax fall? [U] / [CO1, CO2]

   a). On the shopkeeper

   b). On the government

   c). On the customer

   d). On the supplier

3. Why is it incorrect to classify repair costs of machinery as capital expenditure? [U] / [CO3]

a). Because they are not part of regular operations

b). Because they are not related to asset improvement

c). Because they do not increase the asset's life or value significantly

d). Because they are for acquiring a new asset

4. Suggesting ways to improve Centre-State relations by; [U] / [CO4]

a). Prime Minister

b). Chief Minister

c). Finance Commission

d). Judicial Commission

5. Which of the following is not an example of a public good? [U] / [CO1]

a). National defence

b). Public street lighting

c). Early warning systems for disasters

d). A personal mobile phone connection

6. If the government spends on roads, dams, and electricity projects, such expenditure is classified as: [U] / [CO1]

a). Non-developmental expenditure

b). Developmental expenditure

c). Social welfare expenditure

d). Private expenditure

7. In which situation might a government deliberately avoid a balanced budget? [E] / [CO3]

a). To reduce inflation

b). To stimulate economic growth during a recession

c). To maintain political stability

d). To balance imports and exports

8. Customs duty collected on imported goods is an example of: [U] / [CO1]

a). Non-tax revenue

b). Budget expenditure

c). Fiscal deficit

d). Tax revenue

9. Which is NOT an Adam Smith canon? [U] / [CO1, CO2]

a). Productivity

b). Equality

c). Certainty

d). Convenience

10. State governments earn non-tax revenue from which of the following? [U] / [CO1, CO2]

a). Interest on loans given to Union Territories

b). Revenue from sale of state-run lottery tickets

c). Revenue from foreign governments

d). Miscellaneous receipts such as penalties

11. Which of the following financial institutions in mentioned as a source for large municipalities to borrow from? [U] / [CO4]

a). SEBI

b). NABARD

c). World Bank

d). RBI

12. When the government spends more than it collects in revenue, it is following: [An] / [CO5]

a). Surplus budget

b). Deficit budget

c). Neutral fiscal policy

d). Zero-based budget

13. Which type of tax is generally progressive, with a higher income leading to a higher tax rate? [U] / [CO1, CO2]

a). Indirect tax

b). Direct tax

c). VAT

d). GST

14. Federal Finance includes: [U] / [CO4]

a). Division of Responsibility

b). Financial relation between the Centre and States

c). Borrowing Powers

d). All of the other options

15. According to Wagner's Law, as economies expand, government spending: [U] / [CO1]

a). Decreases both absolutely and relatively

b). Remains constant as a share of national income

c). Increases in absolute terms but not as a proportion of national income

d). Increases both in absolute terms and as a proportion of national income

16. Revenue deficit arises when: [U] / [CO3]

a). Revenue expenditure < Revenue receipts

b). Revenue expenditure > Revenue receipts

c). Capital expenditure > Capital receipts

d). Total expenditure > Total receipts

17. Which of the following best describes a "Balanced Budget"? [U] / [CO3]

a). Government expenditure is more than its income

b). Government income is more than its expenditure

c). Government income equals its expenditure

d). Government borrows from international banks

18. Primary deficit = Fiscal deficit – _____ [U] / [CO3]

a). Revenue deficit

b). Borrowings

c). Interest payments

d). Current account

19. The government allocates resources to new digital infrastructure, but within a few years, priorities shift to environmental protection. Which limitation of MSA does this highlight? [U] / [CO1]

a). Difficulties in measuring MSB and MSS

b). Problem of aggregation

c). Dynamic and changing social needs

d). Administrative and implementation challenges

20. What percentage of the net proceeds of union taxes devolved to the states? [U] / [CO4]

a). 51%

b). 31%

c). 41%

d). 61%

21. What does IGST stand for? [U] / [CO1, CO2]

a). Indian Goods and Services Tax

b). Inter-state Goods and Services Tax

c). Integrated Goods and Services Tax

d). Internal Goods and Services Tax

22. Which of the following illustrates the role of private finance? [U] / [CO1]

a). Government spending on healthcare infrastructure

b). Household savings and investment for personal goals

c). Implementation of national welfare schemes

d). Public debt management by the central government

**[1x20 = 20]**

## Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Tax evasion tends to be relatively harder for: [U] / [CO1, CO2]

a). Indirect taxes at point of sale

b). All direct taxes

c). All taxes equally d). Wealth tax only

24. Consider the following statements and state which of the statements are true: [U] / [CO4]
Statement I: Strong Institutional mechanisms must be in place to manage Federal Finance.
Statement II: Strong Institutional mechanisms must be in place to manage the Finance Commission

a). Both statements are true b). Statement I is true, and Statement II is false

c). Both statements are false d). Statement I is false, and Statement II is true

25. Consider the following statements: Assertion(A) and Reasoning (R). Choose the correct alternative. [An] / [CO5]
Assertion (A): Fiscal policy mainly deals with government spending and taxation.
Reasoning (R): Monetary policy mainly deals with money supply and interest rates.

a). Both A and R are true, and R is the correct explanation of A. b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false. d). Both A and R are false.

26. Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. [E] / [CO3]
Assertion (A): The Finance Ministry is solely responsible for preparing and presenting the Union Budget.
Reason (R): The Finance Ministry has direct control over all financial and economic matters of the country.

a). Both A and R are true, and R is the correct explanation of A b). Both A and R are true, but R is not the correct explanation of A

c). A is true, but R is false d). A is false, but R is true

27. Consider the following statements and choose the most appropriate alternative. [U] / [CO4]
Statement I: Property tax is the primary source of tax revenue for urban local bodies.
Statement II: User charges collected for water supply and sanitation are classified as tax revenue

a). Both Statements are true b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true d). Both statements are false

28. A surcharge on income tax is a: [U] / [CO1, CO2]

a). Fee b). Indirect tax

c). Direct tax add-on d). Fine

29. The Government use deficit financing to : [U] / [CO3]

a). Fund development projects b). Stimulate the economy during recessions or slowdowns

c). Provide social welfare schemes d). All of the options given

30. Which amendment granted constitutional status to municipalities? [U] / [CO4]

a). 74th Amendment b). 75th Amendment

c). 72nd Amendment d). 73rd Amendment

31. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [E] / [CO5]
Assertion (A): The Government use fiscal instruments to allocate resources to priority sectors such as health, education, defence and green energy.
Reasoning (R): The Government ensures efficient and optimal use of national wealth.

a). A is true, but R is false. b). A is false, but R is true.

c). Both A and R are true, and R is the correct explanation of A. d). Both A and R are true, but R is not the correct explanation of A.

32. Consider the following statements and state which of the statements are true : [U] / [CO4]
Statement I: Challenges to Fiscal Consolidation are Slow economic recovery and growth uncertainty
Statement II: Challenges to Fiscal Consolidation are Raising welfare expenditure post-pandemic and States dependence on Central transfers

a). Statement I is true, and Statement II is false b). Statement I is false, and Statement II is true

c). Both statements are false d). Both statements are true

33. Consider the following statements and state which of the statements are true. (1) Both funding and sinking fund methods provide systematic ways of dealing with public debt. (2) Funding is based on conversion of short-term debt, while sinking fund is based on savings accumulation. (3) Capital levy relies on recurring taxation for debt repayment. (4) A sinking fund requires no actual monetary contributions, only accounting adjustments. [U] / [CO3]

a). (1), (2) and (4) only

b). (1) and (2) only

c). (2), (3) and (4) only

d). (1), (2), (3) and (4)

34. Consider the following statements: Assertion(A) and Reasoning (R). Choose the correct alternative. [An] / [CO5]
Assertion (A): Monetary policy in India is framed by the Reserve Bank of India (RBI).
Reasoning (R): Fiscal policy in India is prepared and implemented by the Parliament and the Ministry of Finance.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). Both A and R are false.

35. Differentiate a Fiscal Policy and a Monetary Policy. [An] / [CO5]

a). Fiscal Policy refers to use of public expenditure and taxation to influence macroeconomic variables. Whereas Monetary Policy refers to use of interest rates to influence macroeconomic variables.

b). Fiscal Policy is executed by Government but Monetary policy is executed by the central bank of a country.

c). Monetary policy can act as a brake on inflation Whereas Fiscal Policy fiscal policy aims to target the total level of spending.

d). All of the other options.

36. Consider the following statements and choose the most appropriate alternative. [U] / [CO1, CO2]
Statement I: A low tax buoyancy indicates that tax revenues are keeping pace with economic growth.
Statement II: A buoyant tax system is reflected by a tax buoyancy greater than 1.

a). Both statements are true.

b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true.

d). Both statements are false.

37. Consider the following statements and state which of the statements are true. [U] / [CO3]
Statement (1): Public debt can stabilise the economy during crises like recessions or wars by financing emergency spending.
Statement (2): A sustained high level of debt may create fiscal deficit pressures.
Statement (3): Persistent high debt can reduce investor confidence and threaten long-term economic stability.

Statement (4): High public debt always strengthens economic stability, regardless of the situation.

a). (1) and (2) only
b). (2) and (3) only
c). (1), (2), and (4) only
d). (1), (2), and (3) only

38. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I – The long-term impact of public debt depends more on how the funds are utilised than on how much is borrowed. Statement II – Borrowing for routine expenses like salaries and pensions is also productive, as it ensures immediate revenue generation.

a). Both statements are true
b). Statement I is true, and Statement II is false
c). Statement I is false, and Statement II is true
d). Both statements are false

39. Which income tool reduces income inequality? [E] / [CO5]

a). Progressive taxation
b). Indirect taxation
c). Reduction in subsidies
d). Deficit financing

40. Consider the following statements and state which of the statements are true. (1) Short-term debt is repayable within one year. (2) Bonds maturing in 3 or 5 years are classified as medium-term debt. (3) Long-term debt is repayable within 1–5 years. (4) Treasury Bills are examples of long-term borrowings. [U] / [CO3]

a). (1) and (2) only
b). (2) and (3) only
c). (1), (2), and (4) only
d). (1), (3), and (4) only

41. Which is NOT public revenue? [U] / [CO1, CO2]

a). Private income
b). GST
c). Excise
d). Fee

42. The principle of "Universality" in government budgeting implies: [U] / [CO3]

a). A budget must be prepared in all languages.
b). All income and expenditure must be shown without netting off.
c). Every citizen must participate in budget preparation.
d). The Budget should apply universally to all departments equally.

43. The Fiscal Responsibility and Budget Management (FRBM) Act, 2003 aimed to: [An] / [CO5]

a). Reduce fiscal deficit and ensure fiscal discipline.
b). Increase subsidies to farmers.

c). Expand social sector spending.
d). Privatise public sector units.

44. Consider the following statements and state which of the statements are true : [U] / [CO4]
Statement I: Federal Finance enables all levels of Government (Union Govt., State Govt. and Local bodies) to mobilise resources efficiently.
Statement II: To meet developmental and welfare goals.

a). Both statements are true
b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true
d). Both statements are false

45. Consider the following statements Assertion (A)and Reasoning (R). Choose the correct alternative. Assertion (A): Ability-to-pay principle supports progressivity. Reasoning (R): Marginal utility of income declines with income. [U] / [CO1, CO2]

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.
d). A is false, but R is true.

46. Consider the following statements and state which of the statements are true : [U] / [CO4]
**Statement I:** One of the key functions of the Finance Commission is **Vertical Devolution**
**Statement II:** Another important function of the Finance Commission is **Horizontal Devolution**

a). Both statements are true
b). Both statements are false

c). Statement I is true , and Statement II is false
d). Statement I is false, and Statement II is true

47. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I: Public debt is raised only when there is a fiscal surplus.
Statement II: A government may borrow to build infrastructure and enhance long-term economic growth.

a). Both statements are true
b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true
d). Both statements are false

48. Consider the following statements: Assertion (A)and Reasoning (R). Choose the correct alternative. [U] / [CO1, CO2]

Assertion (A): Tax revenue is compulsory.
Reasoning (R): It ensures a direct service to each payer.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

49. Consider the following statements and choose the most appropriate alternative. [An] / [CO5]
Statement I: The goal of creating a tax system under the tax reforms of 1991 was to establish a fair and simple Tax system.
Statement II: The goal of creating a tax system under the tax reforms of 1991 was to create a growth-oriented tax system.

a). Statement I is true, and Statement II is false.

b). Statement I is false, and Statement II is true

c). Both Statements are true.

d). Both Statements are false.

**[2x25 = 50]**